

BEFORE THE
FEDERAL MARITIME COMMISSION

RECEIVED
07 FEB 12 AM 10:44
OFFICE OF THE SECRETARY
FEDERAL MARITIME COMM

ANCHOR SHIPPING CO.,)
Complainant)
)
vs.)
)
ALIANCA NAVEGACAO E)
LOGISTICA LTDA., *et al.*,)
Respondents)

FMC Docket No. 02-04

ANCHOR SHIPPING CO.'S ANSWER TO COUNTER-COMPLAINT

Complainant, Anchor Shipping Co., ("Anchor" or "Complainant"), answers Alianca Navegacao E Logistica Ltda & Cia's ("Aliancia" or "Respondent") Counter-Complaint, using the paragraphs as numbered by Respondent, as follows:

PARTIES

1. Complainant is without knowledge sufficient to form a belief as to the validity of the allegations of paragraph 1, and therefore denies the allegations contained therein.
2. The allegations of paragraph 2 are admitted.

JURISDICTION

3. The allegations of paragraph 3 are denied.

HISTORY OF THIS CONTROVERSY

4. The allegations of paragraph 4 are denied. Alianca and Anchor did not enter into Shipping Contract ("S/C") No. 99-0511. There is no attachment A to Anchor's copy of the Counter-Complaint, and Anchor did not receive Attachment A. Alianca and Anchor had entered into S/C's 99-02, 99-03, and ultimately 99-165 which subsumed the two original S/C's, 02, and 03. S/C 99-051 was not signed by Anchor nor accepted

by Anchor. Anchor was not made aware of such S/C 0511 until some months after S/C 99-165 was already operating in part. S/C 0511 was merely used by Alianca as a means of coercing Anchor into accepting unauthorized increases. Presumably and as a means of changing the service and rates for the other five (5) similar OTI's that Alianca allegedly had contracts with.

5. The allegations of paragraph 5 are denied. There is no attachment B to Anchor's copy of the Counter-Complaint, and Anchor did not receive Attachment B, but would not have objected to simply a May 6, 2000 expiration date which is the same as S/C 165 which Anchor had accepted..
6. The allegations of paragraph 6 are denied. There is no attachment C to Anchor's copy of the Counter-Complaint, and Anchor did not receive Attachment C. Anchor is unaware of any such amendment or its content.
7. The allegations of paragraph 7 are denied. Although S/C's 0511 and 165 contain similar language, rules and provisions, Anchor filed its notice of arbitration over S/C 99-165 which was fully executed by the parties and was intended to form the Master S/C between them. (Exhibits A, B, Affidavits of Tony Pupo and Nelson Tavares).
8. The allegations of paragraph 8 are denied. The provision speaks for itself.

THE ARBITRATOR'S DECISION AND AWARD

9. The allegations of paragraph 9 are denied. There is no attachment D to Anchor's copy of the Counter-Complaint. Anchor admits the arbitrator issued a Decision and Final Award on July 31, 2001.
10. The allegations of paragraph 10 are denied. The Decision and Final Award speak for

itself. The Arbitrator acted in no other capacity than a finder of fact and did not over extend her powers as provided by law. The Arbitrator ruled, found, and concluded, based on S/C 99-165, previous shipments and conduct between the parties, the conduct of the parties throughout the arbitration, the evidence presented, and other permissible inferences. The Arbitrator did not just arbitrarily conclude there were oral amendments to merge S/C's 02 and 03 into S/C 0511 (165), (see Exhibit A), nor did the Arbitrator just decide there were oral agreements to add additional commodities, or out of gauge cargo which exceeded the maximum TEU allowance per voyage. The Arbitrator used the previous shipments and conduct between the parties as well as the fact that Alianca was actually refusing to carry any of Anchor's shipments except those southbound shipments to ECSA or only 17% of the markets offered under the S/C thus repudiating 83% of the services which Anchor was lead to believe were available. Neither did the Arbitrator incorrectly apply the Shipping Act. The Arbitrator merely dealt with Shipping Act issues as they arose and although the Arbitrator mentions Shipping Act violations, the Arbitrator in her Final Decision and Award does not impose any civil penalties on Alianca nor award any Shipping Act damages to Anchor. The award was for breach of contract damages only.

11. The allegations of paragraph 11 are denied. The Final Decision and Award speaks for itself. The Arbitrator did not over-step her authority. The Arbitrator mentions the Shipping Act but in no way enforced the Act. The Final Decision and Award were based on the evidence presented.
12. The allegations of paragraph 12 are denied. The Final Decision and Award speaks for

itself. Anchor made all bookings under S/C 165 and for the purpose of the Master Carrier bill of lading Anchor acted as Shipper (O.T.I.).

13. The allegations of paragraph 13 are denied. The Final Decision and Award speaks for itself. Based on the evidence, the Arbitrator properly dealt with these contract issues.
14. The allegations of paragraph 14 are denied. The Final Decision and Award speaks for itself.
15. The allegations of paragraph 15 are denied. The Final Decision and Award speaks for itself. The Arbitrator merely used Anchor's TVC with its shippers as one of the bases for determining Anchor's ability to meet the minimum quantity requirement of 500 TEU's per year.
16. The allegations of paragraph 16 are denied. The Final Decision and Award speaks for itself. The Arbitrator allowed refused bookings to count toward contract 99-165 because of the overwhelming evidence which supported Anchor's claims.
17. The allegations of paragraph 17 are denied. The Final Decision and Award speaks for itself. All proper laws, rules regulations, and practices were followed.
18. The allegations of paragraph 18 are denied. The Final Decision and Award speaks for itself. Any freight payments which were due Alianca were dealt with by the Arbitrator by means of set-off from the Award to Anchor.
19. The allegations of paragraph 19 are denied. The Final Decision and Award speaks for itself.
20. The allegations of paragraph 20 are denied. The Final Decision and Award speaks for itself. The Arbitration Decision merely took into consideration the fact that Anchor

originally had every reason to believe that the S/C 99-165 and Amendments had been filed. They had been performed on. The decision also took into consideration the fact that the only reason the S/C and Amendments had not been filed was because Anchor refused to accept the increased rates and reduction in service. Anchor did not attempt to access unfiled rates, Anchor wanted its S/C and Amendments to be filed and thought they were filed.

VIOLATIONS OF THE SHIPPING ACT OF 1984, AS AMENDED

21. The allegations of paragraph 21 are denied. There is no attachment E to Anchor's copy of the Counter-Complaint, and Anchor did not receive Attachment E. Anchor has not engaged in any efforts in violation of the Shipping Act and has not violated the Shipping Act. Anchor agrees with the Arbitrator, however, with respect to not allowing Alianca to benefit from not filing the S/C and Amendments to its benefit while threatening to put Anchor in violation of the Shipping Act for attempting to access the service which was intermittently and/or partially operating.
22. The allegations of paragraph 22 are denied. Anchor has not engaged in any efforts in violation of the Shipping Act and has not violated the Shipping Act. Anchor was lead to believe through previous performance, S/C's and numerous conversations, that everything was either filed or being filed and was given a fully executed copy of S/C 99-165 and various e-mail confirmations of the Agreements. The informal opinion of the FMC General Counsel was not specific to the particular set of circumstances and is not a binding order or ruling of the Commission.
23. The allegations of paragraph 23 are denied. Anchor has not engaged in any efforts in

violation of the Shipping Act and has not violated the Shipping Act. The Arbitration Award was not based on Shipping Act violations, but rather strictly for contract damages. It was Anchor that originally filed the complaint with the FMC requesting the FMC to determine whether Shipping Act violations exist irrespective of any arbitration award.

24. The allegations of paragraph 24 are denied. Anchor has not engaged in any efforts in violation of the Shipping Act and has not violated the Shipping Act. Anchor is not attempting to usurp the FMC's jurisdiction to find Shipping Act violations. To the contrary, Anchor has filed an FMC complaint in order that the Commission determine Shipping Act violations alleged in its amended complaint.
25. The allegations of paragraph 25 are denied. Anchor has not engaged in any efforts in violation of the Shipping Act and has not violated the Shipping Act. Anchor booked every shipment, prepared all the documentation and paid the freight for all shipments.
26. The allegations of paragraph 26 are denied. Anchor has not engaged in any efforts in violation of the Shipping Act and has not violated the Shipping Act.
27. The allegations of paragraph 27 are denied. Anchor has not engaged in any efforts in violation of the Shipping Act and has not violated the Shipping Act. The Arbitrator's Decision and Award only used Anchor's time-volume contracts as a basis for determining Anchor's Anchor's volume potential.
28. The allegations of paragraph 28 are denied. Anchor has not engaged in any efforts in violation of the Shipping Act and has not violated the Shipping Act. The Arbitrator's Decision awarding contract damages properly contemplated the Shipping Act, New

York Law, U.S.C's and C.F.R's.

29. The allegations of paragraph 29 are denied. Anchor has not engaged in any efforts in violation of the Shipping Act and has not violated the Shipping Act. Anchor was lead to believe that everything was properly filed.
30. The allegations of paragraph 30 are denied. Anchor has not engaged in any efforts in violation of the Shipping Act and has not violated the Shipping Act. Anchor was lead to believe that everything was either filed or being filed. Alianca is ultimately responsible for any failure of it to properly file Shipping Contracts and Amendments which is has also allegedly done with other S/C's similar to Anchor's.

REPARATIONS

31. The allegations of paragraph 31 are denied. Alianca is not entitled to reparations under the Shipping Act and has failed to set out any facts or legal basis for such an award. The Arbitration award was for contract damages of \$310,451.93 plus legal fees and interest less an off-set of \$36,383.99 for Alianca's freight plus interest.
32. The allegations of paragraph 32 are denied. All contractual damages for freights and interest were previously off-set in the Arbitraion Decision which is binding on Alianca as noted by the Commission in its Order of May 10, 2006, vacating ALJ's Dismissal Order and Remanding Proceeding for Further Adjudication, at page 20.

PRAYER FOR RELIEF

33. To the extent Counter-Complainant's prayer for relief requires an admission or denial, the allegations of paragraph 33 are denied. Alianca should take nothing by way of its Counter-Complaint. Rather, in addition to the relief requested by Complainant in its

complaint, Alianca should also be ordered to file any unfiled S/C's of Anchor or any other similarly situated O.T.I. and to pay any other and further civil penalties the Commission sees fit.

AFFIRMATIVE DEFENSES

Complainant hereby asserts the following Affirmative Defenses to Alianca's Counter-Complaint:

- I. The Counter-Complaint fails to state claims against Complainant upon which relief may be granted.
- II. The Counter-Complaint is barred by the applicable statute of limitations and laches. Complaints for reparations under the Shipping Act must be brought within three years from the date the cause of action accrues. 46 App. U.S.C. § 1710 (g), 46 CFR § 502.63, and OSRA § 10 (g) Reparations.
- III. The Counter-Complaint is barred by the doctrine of issue preclusion.
- IV. The Counter-Complaint is barred by ratification. The Respondent paid the arbitration award and did not challenge or timely appeal the award.
- V. The Counter-Complaint is barred by estoppel and waiver. The Respondent accepted and paid the arbitration award and did not challenge or timely appeal the award.
- VI. Complainant has made no efforts to implement and enforce the Arbitration Decision and award in violation of the Shipping Act as alleged by Respondent.
- VII. Complainant's claims before the Commission of alleged Shipping Act violations do not constitute an attempt to "implement and enforce" the Arbitration Decision. In rendering its Order Vacating ALJ's Dismissal Order and Remanding Proceeding For

Further Adjudication, the Commission found that “Although the complainant in this case has already obtained an arbitration award relating to certain breach of contract allegations, the Commission is obligated to hear those allegations particular to the Shipping Act, which is consistent with our statutory mandate.” Order, p. 20. As the Commission has ruled in this case, Anchor’s complaint properly seeks determination by the Commission of alleged Shipping Act violations and properly seeks damages beyond those awarded in the Arbitration. Order, p. 1-25.

- VIII. Complainant made no attempt to implement and enforce the award of the Arbitrator, rather, Alianca voluntarily paid the award in full in 2001. Pursuant to the Rules of the Society of Maritime Arbitrators and the Federal Arbitration Act, Alianca had three months after the award was issued to move to vacate, modify or correct the award 9 U.S.C. § 12. Alianca made no such motion and did not appeal the award.
- IX. There has been no binding ruling or order that Alianca has not committed the Shipping Act violations alleged, nor any other ruling or order preventing Complainant from bringing its claims for the alleged Shipping Act violations for determination before the Commission.
- X. The Commission is in no way bound by the Arbitration Decision, will perform its own review and make its own determinations concerning Complainant’s alleged violations.
- XI. Respondent engaged in numerous violations of the Shipping Act of 1984, as demanded, and has unclean hands which bars the granting of the relief requested in the Counter-Complaint.
- XII. Respondent’s Counter-Complaint and conduct operates as an illegal and improper

attempt to discourage and dissuade Complainant and other similarly situated and potential shippers from properly bringing allegations of Shipping Act violations before the Federal Maritime Commission.

- XIII. Respondent's Counter-Complaint and conduct violates the Shipping Act of 1984 as amended, the FMC regulations and the FMC decisions.
- XIV. Respondent's Counter-Complaint and conduct are contrary to the Shipping Act of 1984 as amended and the FMC's regulations and decisions.
- XV. Respondent has exhausted its remedy, if any, for any alleged violations or activities under S/C's pursuant to section 8(c) of the Shipping Act. To the extent that the Counter-Complaint seeks damages under the Service Contracts for breaches of contract, the Arbitration Decision is binding on Respondent. Alianca's damage claims concerning allegations of freights owed and minimum volume commitment shortage, were presented and pursued by Alianca in the Arbitration, and were considered, ruled upon and set-off by the Arbitrator as part of the breach of contract Award, and are binding on Alianca. Order, p. 20.
- XVI. The ALJ's Order denying Complainant's motion to dismiss the Counter-Complaint is erroneous.
- XVII. The Counter-Complaint does not arise from the Shipping Act claims that are the subject matter of the Complaint, rather the Counter-Complaint arises from the Arbitration Decision which Respondent paid and did not timely challenge or appeal.
- XVIII. The damages alleged in the Counter-Complaint are contrary to and violate the Shipping Act of 1984 as amended, the FMC regulations and the FMC decisions.

XIX. Complainant seeks relief for Shipping Act violations which could not be enforced through arbitration and irrespective of any arbitration award.

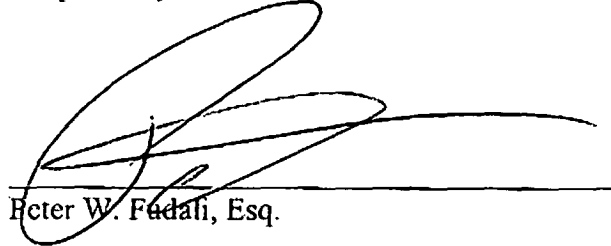
XX. Anchor has not engaged in any efforts in violation of the Shipping Act and has not violated the Shipping Act.

XXI. The Commission lacks jurisdiction over the Counter-Complaint.

WHEREFORE, Complainant prays that respondent take nothing by way of its Counter-Complaint, that the Counter-Complaint be dismissed with full prejudice, and that such other and further order or orders be made as the Commission determines to be proper in the premises.

Anchor does not request an oral hearing, but if one is held, requests that the hearing be held in Miami, Florida.

Respectfully submitted,



Peter W. Fudali, Esq.

LAW OFFICES OF PETER W. FUDALI, P.A.
18205 Biscayne Boulevard
Suite 2222
Miami, Florida 33160
Telephone: 305-932-4011
Facsimile: 305-932-4858

Attorneys for Anchor Shipping Co.

VERIFICATION

I, Alfred Hernandez, President of Anchor Shipping Co., state that I have read the foregoing Answer to Alianca's Counter-Complaint and that the facts stated therein, upon information known and received from others, affiant believes to be true.



Subscribed and sworn to before me, a Notary Public in and for the state of Florida, County of Miami-Dade, this 9th day of February, 2007.



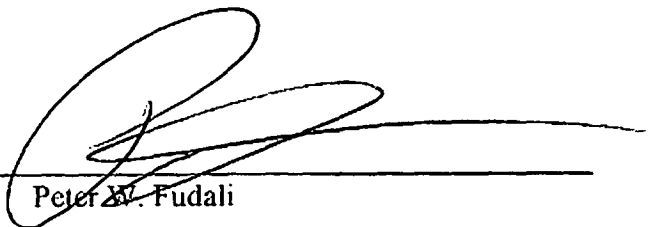
Notary Public, State of Florida



Lisa Rivera
Commission #DD417C62
Expires: APR. 11, 2009
www.AARONNOTARY.com

CERTIFICATE OF SERVICE

I HEREBY CERTIFY that a true copy of the foregoing was served this 9 day of February, 2007, by Federal Express upon Paul D. Coleman, Esq., counsel for Alianca Navegacao E. Logistica Ltda., Columbus Line, Inc., and Hamburg Sudamerikanische Dampfschiffahrts-Gesellschaft KG, and by Federal Express upon Crowley American Transport, Inc., 465 South Street, Morristown, N.J. 07960.



Peter M. Fudali

In the Matter of the Arbitration
Between

ANCHOR SHIPPING CO.

as Shipper/Claimant

ALLIANCA TRANSPORTES
MARITIMOS S.A., ALLIANCA
NAVEGACAO E LOGISTICA
LTDA.,

As Carrier/Respondent

Under Service Contract EC 99-0511

Before: Lucienne Carasco Bulow
Sole Arbitrator

AFFIDAVIT of ANTHONY PUPO

STATE OF FLORIDA

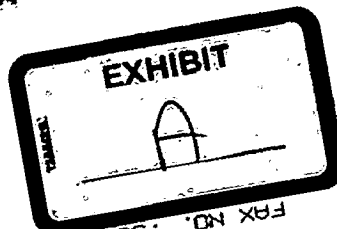
COUNTY OF MIAMI-DADE

) SS

BEFORE ME, personally appeared the undersigned, Anthony Pupo, who after being duly sworn deposes and says:

1. My name is Anthony Pupo and I am the Ex-General Manager of Alianca Navegacao E Logistica Ltda. in Miami, Florida. ("Alianca")
2. I have personal knowledge of the facts stated herein.
3. I directly reported to Mr. Jose R. Salgado, General Manager of Alianca, who had personal knowledge of my relationship with Mr. Hernandez.
4. I was employed by Alianca for over one year.
5. Previously I was General Manager for Kerr Steamship company, Inc., for over 15 years.
6. I have known Mr. Alfred Hernandez, President of Anchor Shipping Co. ("Anchor") through his dealings with various companies at which I worked for over 16 years.
7. Mr. Hernandez is knowledgeable in the shipping industry and has always displayed high standards of character, integrity and dependability.
8. In January 1999, I offered Anchor a Service Contract from the U.S. Gulf to Central and South America on behalf of Alianca.

Page 1 of 3



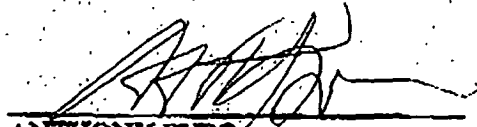
PLAMAR TRAVEL

Mar. 12 2001

9. At the time, Anchor was attempting to secure a master contract to and from U.S. Ports and ECSA-WCSA.
10. Mr. Salgado authorized me to instruct Mr. Hernandez and I did instruct Mr. Hernandez that we would soon be able to offer him such a master contract, through Vessel Sharing Agreements.
11. In the meantime, we urged him to accept the Gulf contract.
12. Anchor accepted the offer and signed what became S/C 99-002.
13. In February 1999, I offered Anchor a Service Contract from U.S. Atlantic ports to Venezuela on behalf of Alianca.
14. Anchor was asking for a Master Contract and claimed to be negotiating with other carriers.
15. I again assured Mr. Hernandez that Alianca would soon be able to offer them a combined contract for all the markets, at very competitive rates.
16. I urged Mr. Hernandez to accept the Atlantic Ports contract in the short term.
17. Anchor accepted the Service Contract, and signed what became S/C 99-003.
18. In April 1999, Anchor negotiated a 500 TEU Master Service Contract which was to include all of Alianca's services between the United States and South America.
19. It was our offer and, to the best of my knowledge, Anchor's intent that this new master contract merge and replace all of their existing contracts.
20. This new Master Service Contract was originally numbered 99-165 and was signed by Anchor. Subsequently the service contract was renumbered 99-0511 by Alianca.
21. The contract was to run from May 1999 until May 2000.
22. Although the original draft of the contract did not refer to the previous contracts it was our understanding that it would be modified to include language merging and replacing the previous two service contracts.
23. Mr. Hernandez conveyed to me his concerns that these amendments be made and I expressed them to Mr. Salgado.
24. In May 1999, just after the effective date of the contract, Alianca began to experience a shortage of space in the ECSA north bound service and was having difficulties with their space allocations in WCSA service.
25. Some months later, (June-July-August) Mr. Hernandez began to complain about the service, claiming he was not being given enough space for his booking's, that Alianca was short shipping and mishandling his booking's, and that Alianca was refusing his booking's.

26. I relayed this information to Mr. Salgado.
27. In September 1999, Mr. Hernandez began threatening with a lawsuit if Alianca did not begin honoring his bookings and persistently began calling to inquire about his contract.
28. I instructed Mr. Hernandez to resolve his issues through Mr. Salgado.
29. During September and October 1999, Anchor called to make a booking at least once a day and, in some instances, two to three times a day.
30. During this period, Mr. Hernandez contacted me personally about once a week to see if there had been any changes or developments. I kept Mr. Salgado advised of these contacts.
31. Alianca was refusing Anchor's booking's under the service contract for Boat's, Truck's, Out of Gauge, La Guaira, Buenaventura, and ECSA north bound.
32. It is my understanding that these goods and routes were supposed to be included under the Master Contract and said understanding was conveyed to Mr. Hernandez.
33. I have not divulged any Alianca classified company information to Anchor, nor am I, personally associated with Anchor or any of its officer's in any way.

FURTHER AFFIANT SAYETH NOT.


 ANTHONY PUPO

SWORN TO AND SUBSCRIBED before me this 26th day of December, 2000, by Anthony Pupo who is personally known (X), produced _____ as identification.


 Notary Public

My Commission Expires.



David Chenin
 Commission # 00 576899
 Expires Nov. 8, 2003
 Bonded Through
 Atlantic Bonding Co., Inc.

AFFIDAVIT OF ANTHONY PUPO.doc

In the Matter of the Arbitration
Between

ANCHOR SHIPPING CO.

as Shipper/Claimant

ALIANCA TRANSPORTES
MARITIMOS S.A., ALIANCA
NAVEGACAO E LOGISTICA
LTDA.,

As Carrier/Respondent

Under Service Contract EC 99-0511.

Before: Lucienne Carasso Bulow.
Sole Arbitrator

AFFIDAVIT OF NELSON TAVAREZ

STATE OF FLORIDA

COUNTY OF MIAMI-DADE

)
) SS
)

BEFORE ME, personally appeared the undersigned, Nelson Tavarez, who after being duly sworn deposes and says:

1. My name is Nelson Tavarez and I was an account executive for Alianca Navegacao E Logistica Ltda. in Miami, Florida ("Alianca") for approximately one year.

2. I have personal knowledge of the facts stated herein.

3. I reported directly to Mr. Tony Pupo, General Manager, and handled Service Contract's in conjunction with Ms. Judith Popso and Ms. Ana Limia.

4. Previous to working for Alianca, I was employed by Hyde Shipping Co. for over one year.

5. I am presently employed as an account executive for Thompson Line where I have worked for approximately two years.

6. I was personally involved in the negotiations between Alianca and Anchor Shipping Co. ("Anchor") for their various service contracts and I have personal knowledge of the facts stated herein.

7. Mr. Hernandez appeared to be very aware of the different market prices and volume levels during our negotiations and appeared to be very knowledgeable regarding the industry.

8. In January 1999, Anchor Mr. Pupo and I, on behalf of Alianca, offered a Service Contract from the U.S. Gulf to Central and South America.

9. At that time, Anchor was looking to secure a Master Contract with a major carrier which would cover service to and from all of the United States and South America.

10. Nevertheless, Mr. Pupo and I represented that we would offer them such a master contract in the future to replace specific contracts and Anchor accepted the offer and signed what became S/C 99-002.

11. In February 1999, Anchor Mr. Pupo and I, on behalf of Alianca, offered a Service Contract from U.S. Atlantic ports to Venezuela.

12. Anchor was still interested in a Master Contract.

13. Mr. Pupo and I again assured Mr. Hernandez that such a Master Contract would be forthcoming which would incorporate all existing contracts and urged him to accept the offer.

14. Anchor accepted the offer and signed what became S/C 99-003.

15. In April 1999, Anchor Mr. Pupo and I negotiated a 500 teu Master Service Contract with Anchor which was to include all of Alianca's services between the United States and South America.

16. I personally advised Anchor on behalf of Alianca that the Master Contract would replace all of their existing contracts.

17. I personally took the contract to Anchor's Office for Mr. Hernandez to sign and Mr. Hernandez immediately inquired about WCSA service (Chile, Peru, Ecuador) and Special Equipment not being included in the draft.

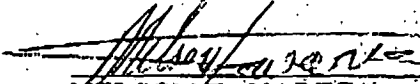
18. I asked him and he agreed to discuss the omission with Mr. Pupo.

19. In April 1999, Alianca began to experience a shortage of space in the ECSA north bound service and was having difficulties with their space allocations in WCSA service.

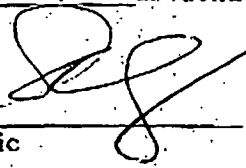
20. Before I left Alianca, (May 1999) Mr. Hernandez had called me to inquire whether several amendments to the contract had been made, (e.g., La Guaira, Chile, Peru, Ecuador, Special Equipment, 20 Free Days, and Reefer Rates) and I had told him Alianca would take care of making the amendments since these routes and goods were promised by Alianca to be included under the Master Contract.

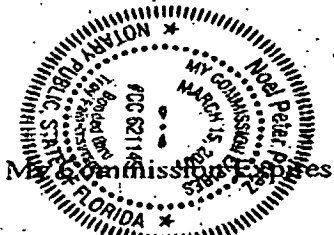
21. In my opinion, Anchor's contract rates were very competitive as compared to other rates on the market for equal services.

FURTHER AFFIANT SAYETH NOT.


NELSON TAVAREZ

SWORN TO AND SUBSCRIBED before me this 20 day of December, 2000, by Nelson Tavaréz who is personally known [] produced _____ as identification.


Notary Public



C:\WINNT\PROFESOR\NOSA\Desktop\nelson tavaréz.doc